



TECHNET
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INNOVATION ECONOMY



February 10, 2022

Senator Tyler Pace
Chair, Senate Transportation and Technology Committee
1700 W. Washington Street, Room 303
Phoenix, AZ 85007

RE: SB 1495 (Mesnard) - Data Privacy - OPPOSE

Dear Senator Pace,

Our organizations, TechNet, Internet Coalition, the Motion Picture Association, and the Association of National Advertisers, must respectfully oppose SB 1495 (Mesnard), which prohibits social media platforms or search engines from collecting a user's personal data or search history without the user's consent. The bill has been referred to your Transportation and Technology Committee in the Arizona Senate. While we understand and appreciate the intent of the author, this approach to privacy and affirmative consent is not feasible or advisable.

Overbroad Definitions of "Social Media Platform" and "Search Engine Platform"

The definitions of "social media platform" and "search engine platform" are overbroad and would include far more websites and services than intended. The definition of search engine captures voice assistants, smart speakers and devices, and could capture embedded search functions within company websites. Furthermore, the definition of "social media platform" would encompass any site or service that allows users to generate content of any kind. This would include everything from product reviews and ratings, comments on news articles, and any website that allows a user to post pictures or comments.

Requiring websites or search engines to receive opt-in consent before collecting and storing personal data or search history is unreasonable. It's also unclear as to how frequently platforms must obtain consent, but if platforms are required to obtain consent each time data is collected and stored, users will be repeatedly presented with prompts for consent. As noted above, the requirement for opt-in consent before collecting or storing any data would apply to a broad spectrum of the internet and would prohibit these services from collecting users' search history. Search history without additional information does not raise the same privacy concerns that other types of personal information might and websites should not be prohibited from collecting it. Also, it's technically infeasible to differentiate between users unless the user logs in and out of a service.

Parental Consent Requirements Raise Compliance and Constitutional Issues

SB 1495 imposes strict requirements on social media platforms and search engines that would impact teens' access to the free and open internet and poses technical and compliance challenges that are infeasible.

Though intended to provide greater protections for children online, SB 1495 conflicts with the Children's Online Privacy Protection Act (COPPA), which imposes certain requirements on websites or online services directed to children under 13 years of age. SB 1495 in contrast extends parental consent requirements to all children. In passing COPPA, Congress carefully considered the appropriate age to require parental consent, opting for 13 years of age because otherwise teens in at-risk domestic situations would have to obtain their parents' consent before seeking help online. Teens facing domestic violence, dealing with mental health issues, or contemplating suicide would find it more difficult to find resources and a sense of community online with the consent requirements of SB 1495.

This bill also requires websites and services to provide tools to limit usage time per day and control for allowing user access to certain times of day. For the broad range of companies this bill would apply to, this would require the creation of new monitoring technology, which is an expensive undertaking particularly for smaller websites and software providers.

Finally, the requirement that parents must also pre-approve any photo or image of the child before posting is a nearly impossible standard to meet. This approach overlooks how social media platforms function and would require platforms to collect and process more information, creating a conflict with the broader privacy protective goals of the bill. Additionally, a social media platform or website would not know if another user is posting a picture of someone else's child and would not be able to obtain the proper consent. For example, SB 1495 seems to prohibit a parent from posting pictures of their child's birthday party without first obtaining the consent from the parent of each child pictured at the party and providing that proof of consent to the website or service. Because this raises such an impossible standard to comply with, websites may instead prohibit the posting of any pictures of teens or children by anyone in order to be compliant and limit their liability. Thus, SB 1495 raises serious constitutional issues as the only way to comply with its requirements would be to overburden and over-remove lawful, protected speech.

Enforcement

TechNet strongly opposes the inclusion of a private right of action in SB 1495, because any unintentional or perceived violation could result in ruinous liability for companies, particularly small businesses. For example, a company can expect to spend over \$500,000 to defend a data breach lawsuit. As noted above, the definitions in this bill are so overbroad and vague that this increase in civil liability will encourage unnecessary litigation with little benefit for actual consumers.

For these reasons, we must respectfully oppose SB 1495 (Mesnard). If you have any questions regarding our opposition to SB 1495, please contact Dylan Hoffman at dhoffman@technet.org or at 505.402.5738.

Best,

A handwritten signature in black ink, appearing to be 'DH' with a stylized flourish extending to the right.

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